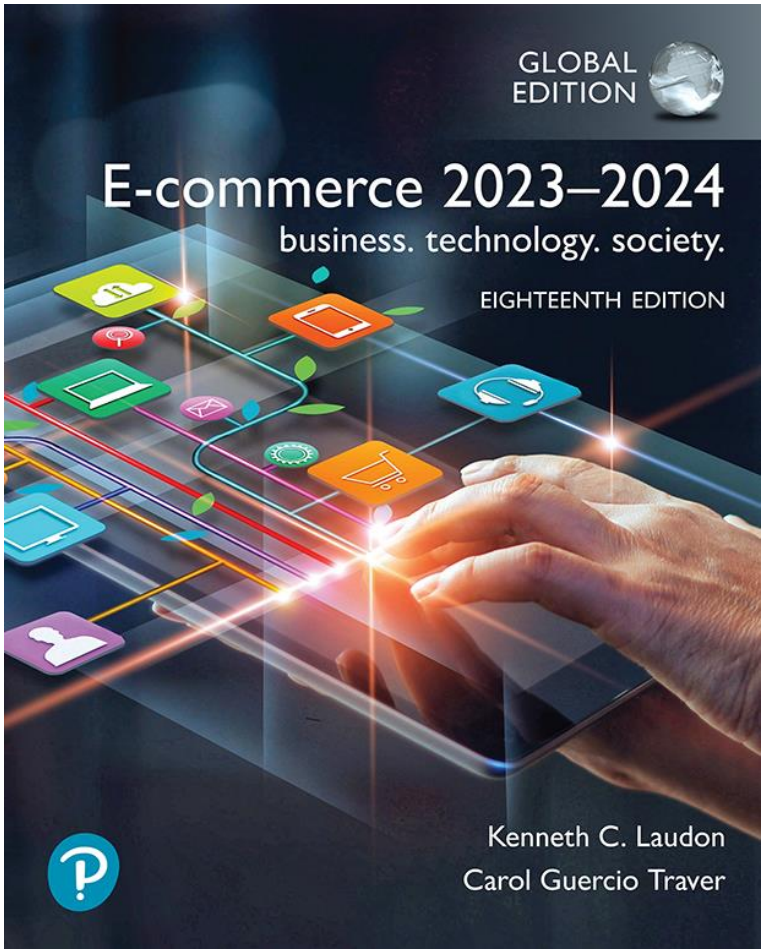
E-commerce 2023–2024: business. technology. society.

Eighteenth Edition



Chapter 1

Introduction to E-commerce

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Learning Objectives

1.1 Understand why it is important to study e-commerce.

1.2 Define e-commerce, understand how e-commerce differs from e-business, identify the primary technological building blocks underlying e-commerce, and recognize major current themes in e-commerce.

1.3 Identify and describe the unique features of e-commerce technology and discuss their business significance.

1.4 Describe the major types of e-commerce.

1.5 Understand the evolution of e-commerce from its early years to today.

1.6 Describe the major themes underlying the study of e-commerce.

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TikTok: Creators and the Creator Economy

- Class Discussion
  - Why is TikTok so popular?
  - Do you use TikTok? If so, in what manner—do you just view content or also post content?
  - Do you consider yourself a creator? Have you ever received payments for content you have created?
  - What are some of the negative consequences associated with being a creator?

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The First Five Minutes: Why You Should Study E-commerce

- First quarter-century or so of e-commerce
  - Still just the beginning
  - Rapid growth and change
- Technologies evolve at exponential rates
  - Disruptive business change
  - New opportunities
- Why study e-commerce
  - Understand opportunities and risks
  - Analyze e-commerce ideas, models, issues

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What Is E-commerce?

- Use of Internet to transact business
  - Includes Web, mobile browsers and apps
- More formally:
  - Digitally enabled commercial transactions between and among organizations and individuals

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The Difference Between E-commerce and E-business

- E-business
  - Digital enabling of transactions and processes within a firm, involving information systems under firm's control
  - Does not include commercial transactions involving an exchange of value across organizational boundaries

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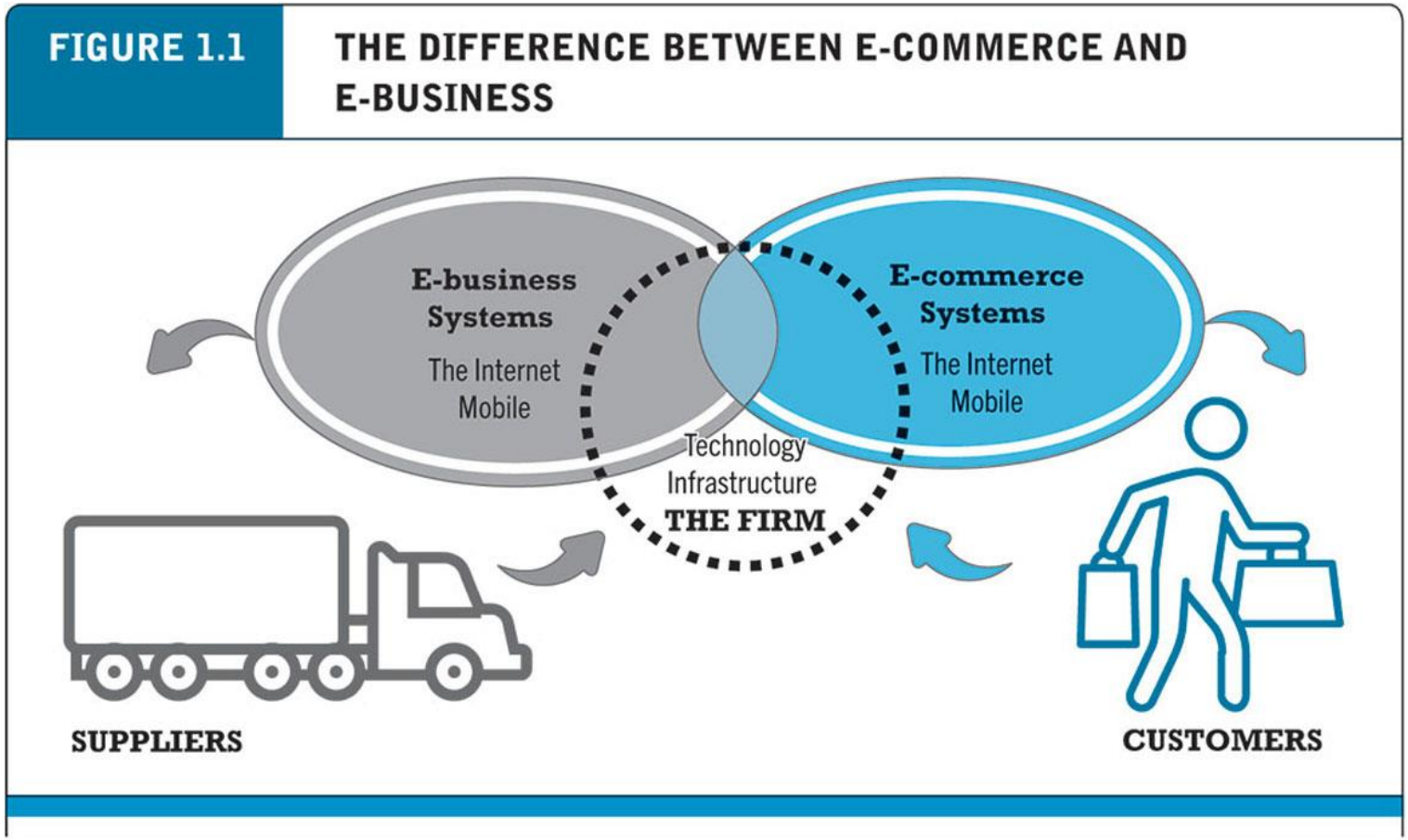
Figure 1.1 The Difference Between E-commerce and E-business



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Technological Building Blocks Underlying E-commerce

- The Internet
  - Worldwide network of computer networks built on common standards
- The World Wide Web
  - Provides access to trillions of web pages created in HTML
  - “Surface” Web versus “deep” Web
- Mobile platform
  - Smartphones, tablets, ultra-lightweight laptops
  - Mobile apps

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Insight on Technology: Will Apps Make the Web Irrelevant?

- Class Discussion
  - What are the advantages and disadvantages of apps, compared with websites, for mobile users?
  - What are the benefits of apps for content owners and creators?
  - What are progressive web apps and how do they differ from native apps?
  - Will apps eventually make the Web irrelevant? Why or why not?

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Major Trends in E-commerce (1 of 3)

- Business trends include:
  - Retail e-commerce and m-commerce settle back to normal growth rates (around 10%) after Covid-19 pandemic
  - Mobile app ecosystem: almost 250 million U.S. adults use smartphone apps
  - Social e-commerce estimated to generate around $55 billion in 2022
  - B2B e-commerce revenues expected to reach about $8.5 trillion in 2022

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Major Trends in E-commerce (2 of 3)

- Technology trends include:
  - Mobile platform
  - Cloud computing
  - Internet of Things
  - Big data
  - Artificial intelligence technologies
  - Blockchain
  - Web3
  - Metaverse

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Major Trends in E-commerce (3 of 3)

- Societal trends include:
  - User-generated content
  - Commercial and governmental invasion of privacy
  - Concerns about increasing market dominance of Amazon, Google, Meta (Big Tech)
  - Online security issues

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Unique Features of E-commerce Technology (1 of 2)

1. Ubiquity
2. Global reach
3. Universal standards
4. Information richness

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Unique Features of E-commerce Technology (2 of 2)

5. Interactivity
6. Information density
7. Personalization/customization
8. Social technology

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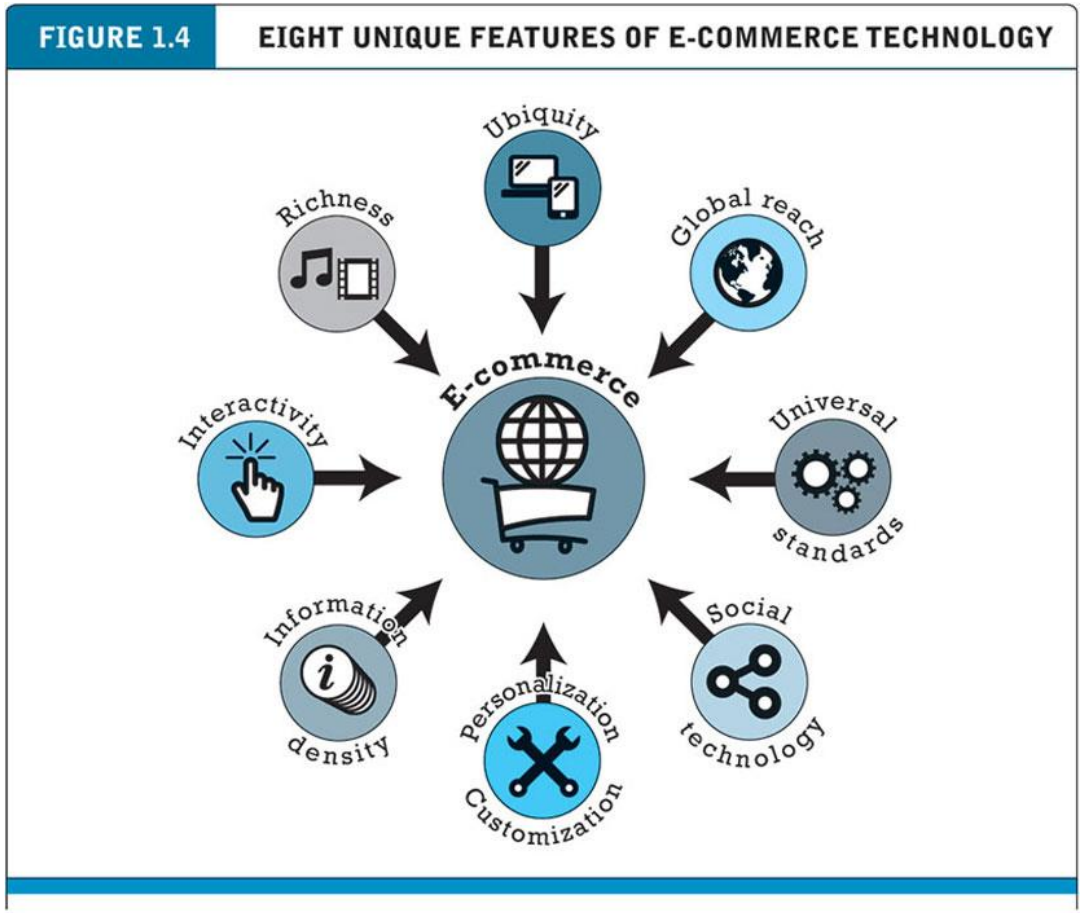
Figure 1.4 Eight Unique Features of E-commerce Technology



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Types of E-commerce

- Business-to-consumer (B2C)
- Business-to-business (B2B)
- Consumer-to-consumer (C2C)
- Mobile e-commerce (M-commerce)
- Social e-commerce
- Local e-commerce

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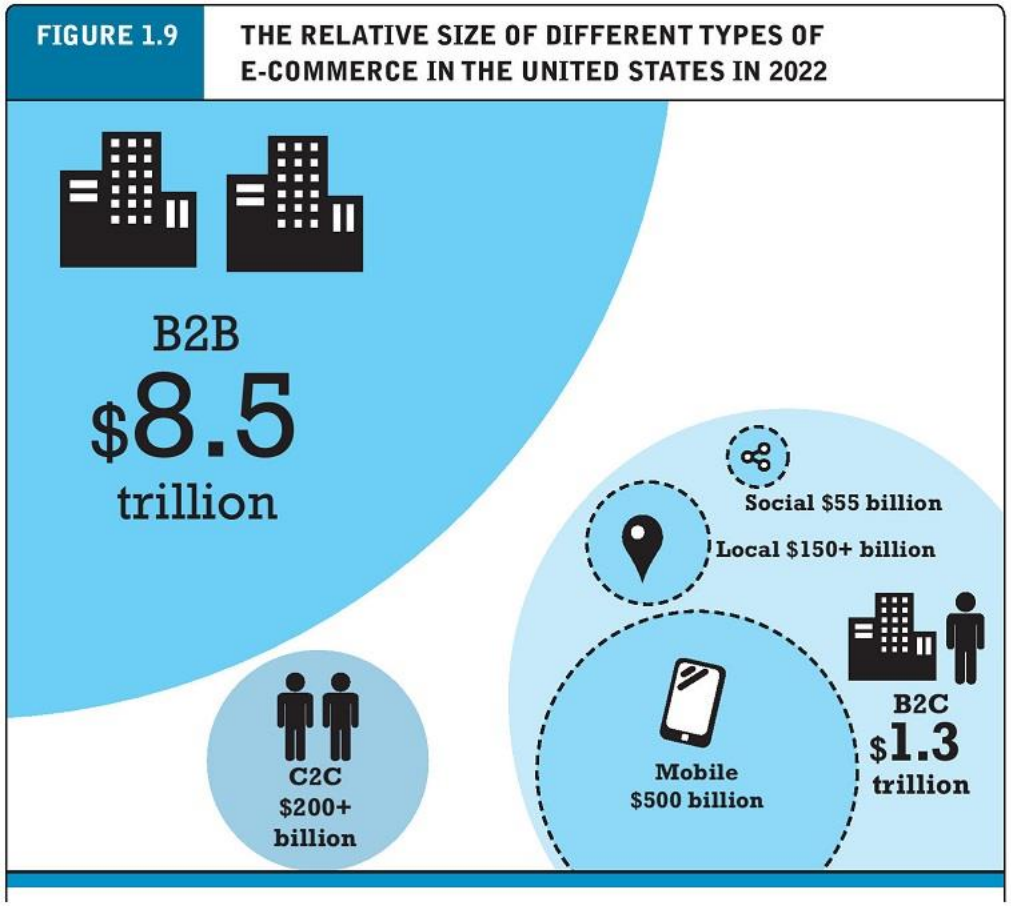
Figure 1.9 The Relative Size of Different Types of E-commerce



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E-commerce: A Brief History (1 of 4)

- Precursors
  - Baxter Healthcare modem-based system (1970s)
  - Order entry systems (1980s)
  - Electronic Data Interchange (EDI) standards (1980s)
  - French Minitel (1981)

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E-commerce: A Brief History (2 of 4)

- 1995–2000: Invention
  - Sale of simple retail goods
  - Limited bandwidth and media
  - Euphoric visions of:
    - Friction-free commerce
    - First-mover advantages
  - Dot-com crash of 2000

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E-commerce: A Brief History (3 of 4)

- 2001–2006: Consolidation
  - Emphasis on business-driven approach
  - Traditional large firms expand presence
  - Start-up financing shrinks
  - More complex products and services sold
  - Growth of search engine advertising
  - Business web presences expand

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E-commerce: A Brief History (4 of 4)

- 2007–Present: Reinvention
  - Rapid growth of:
    - Web 2.0, including online social networks
    - Mobile platform
    - Local commerce
    - On-demand service economy
  - Entertainment content develops as source of revenues
  - Transformation of marketing

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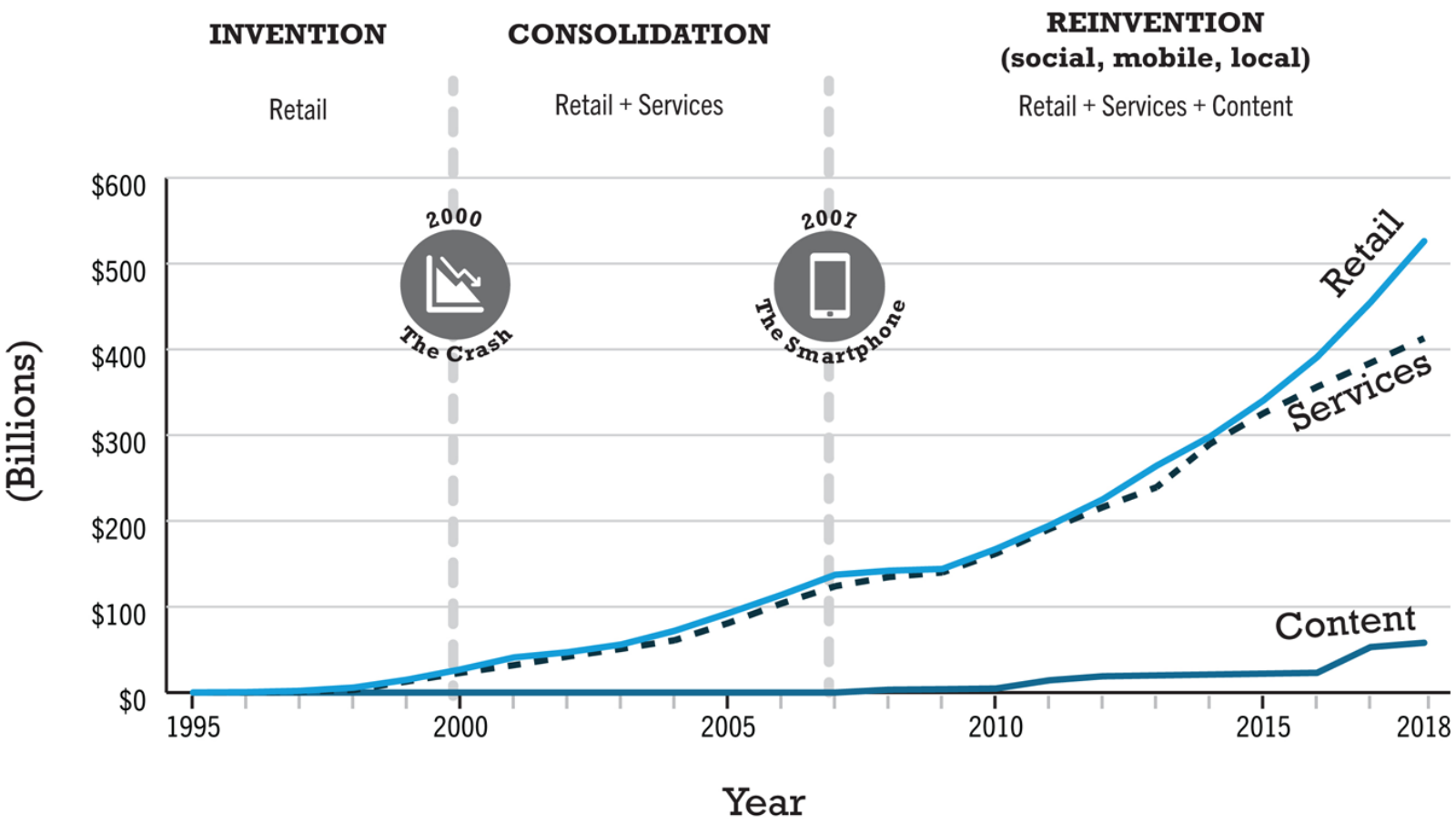
Figure 1.10 Periods in the Development of E-commerce



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Insight on Business: Rocket Internet

- Class Discussion
  - What are the benefits of investing in a company that Rocket Internet has launched?
  - Is an incubator the best solution for start-ups to find funding? Why or why not?
  - Why is Rocket Internet controversial?

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Assessing E-commerce (1 of 2)

- Stunning technological success
- Early years a mixed business success
  - Few early dot-coms have survived
  - Online sales growing rapidly
- Many early visions not fulfilled
  - Price dispersion
  - Information asymmetry
  - New intermediaries

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Assessing E-commerce (2 of 2)

- Other surprises
  - Fast-follower advantages
  - Start-up costs
  - Impact of mobile platform
  - Emergence of on-demand e-commerce

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Understanding E-commerce: Organizing Themes

- Technology
  - Development and mastery of digital computing and communications technology
- Business
  - New technologies present businesses with new ways of organizing production and transacting business
- Society
  - Intellectual property, individual privacy, public welfare policy

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Insight on Society: Facebook and the Age of Privacy

- Class Discussion
  - Why are social networks interested in collecting user information?
  - What types of privacy invasion are described in the case? Which is the most privacy-invading, and why?
  - Was the Federal Trade Commission's $5 billion fine and its placement of restrictions on Facebook's business operations sufficient in light of Facebook's history with respect to privacy violations?
  - How do you protect your privacy online?

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Careers in E-commerce

- Position: Category Specialist in the E-commerce Retail Program
- Qualification/Skills
- Preparing for the Interview
- Possible Interview Questions

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